

Notes: Ng, Smith, and Smith (JF, 1999)
Evidence on the Determinants of Credit Terms Used in Interfirm Trade

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1 Big picture

- **Research question.** What determines the credit terms suppliers use in interfirm trade? More specifically, why do some firms require cash, others offer simple net terms, and others offer two-part terms with prompt-payment discounts?
- **Main idea.** Trade credit is a contract that allocates risk, monitoring, financing, and collection tasks between buyers and sellers. Payment after delivery moves credit risk and receivables financing to the seller; payment before or at delivery moves product-quality risk and financing responsibility to the buyer.
- **Empirical object.** The paper studies the actual terms quoted by firms, not just accounts receivable or accounts payable. The key outcomes are whether the firm uses cash, net terms, or two-part terms, and, among two-part offers, the discount percentage, discount period, and implicit interest rate.
- **Main finding.** The evidence is most consistent with information-based theories of trade credit. Payment terms appear to solve problems about product quality, buyer creditworthiness, and buyer heterogeneity rather than simply reflecting seller liquidity, demand smoothing, or inventory management.
- **Industry pattern.** Credit terms vary widely across industries but show relatively little variation within narrowly defined industry groupings. Net 30 is the most common simple net term, and 2/10 net 30 is a common two-part contract, but many industries use no two-part terms at all.
- **Two-part terms.** Two-part terms can play two roles. They can be a screening contract when late or non-discount payment signals buyer distress, or they can be a convenient financing and inspection arrangement in repeated product-market trade.
- **Buyer reputation.** Firms selling to OEMs and wholesalers are more likely to extend credit than to require cash, while firms selling to a heterogeneous mix of customers are more likely to demand cash. This points to buyer type and buyer reputation as central determinants.
- **Seller reputation.** Older and larger sellers are more likely to use more complex two-part terms, consistent with scale economies and with the idea that reputable sellers do not need simple net terms as a product-quality guarantee.

Economic takeaway. Trade credit terms are not arbitrary conventions. They divide information and financing problems between buyers and sellers. Suppliers use the timing and pricing of payment to protect themselves from credit risk, reassure buyers about product quality, and manage heterogeneous customer relationships.

2 Incremental contribution of the paper

- **Moves beyond accounting proxies.** Earlier empirical work often uses accounts receivable or accounts payable. This paper studies the actual contractual terms offered by firms, including cash, net terms, and two-part terms.
- **Original survey data.** The authors collect survey responses from credit managers, creating direct evidence on trade-credit terms, enforcement practices, and firms' reasons for using different payment arrangements.

- **Documents industry practice.** The paper provides a detailed cross-industry map of common trade-credit terms. It shows that terms differ substantially across product markets but tend to be uniform within industries.
- **Tests multiple theories simultaneously.** The empirical design maps variables to theories of product-quality guarantees, credit-risk screening, relationship-specific investment, scale economies, demand uncertainty, seller liquidity, and price discrimination.
- **Distinguishes basic policy from specific terms.** The paper first models the discrete choice among cash, net, and two-part terms. It then studies, conditional on two-part terms, how the exact discount rate, discount period, and implicit interest rate vary with the same economic forces.
- **Connects contract form to information problems.** The key insight is that different credit terms can solve different information problems. Net terms may protect buyers when product quality is hard to evaluate; two-part terms may reveal buyer credit quality; cash may protect sellers when buyers are heterogeneous or hard to monitor.
- **Shows weak support for liquidity and demand-smoothing stories.** Seller liquidity does not appear to be an important positive determinant of extending credit, and survey evidence suggests firms rarely vary credit terms in response to demand fluctuations, inventory needs, or interest-rate changes.
- **Complements Petersen and Rajan.** Petersen and Rajan study who gives and receives trade credit using balance-sheet data. Ng, Smith, and Smith study the terms of the trade-credit contract itself.

3 Data and measurement

3.1 Payment-policy taxonomy

The paper begins from a simple timing problem. Unless payment and delivery occur at the same instant, the payment arrangement is a credit contract.

- **Cash before delivery (CBD).** The buyer pays before receiving the product. The buyer bears product-quality risk and must obtain outside financing if needed.
- **Cash on delivery (COD).** The buyer pays at delivery. Some product-quality risk remains, but seller credit exposure is limited.
- **Net terms.** The seller ships the good and requires full payment by a stated date, such as net 30.
- **Two-part terms.** The seller offers a prompt-payment discount and a later net date, such as 2/10 net 30.

For two-part terms, the implicit annualized interest rate from forgoing the discount is:

$$\text{Implicit rate} = \left(\frac{100}{100 - d} \right)^{\frac{360}{N-D}} - 1, \quad (1)$$

where d is the discount percentage, D is the discount period, and N is the net period. For example, 2/10 net 30 implies a 2% discount for payment within 10 days and full payment due after 30 days. The paper reports that this contract implies an effective annual interest rate of 43.9%.

Interpretation. A buyer who does not take the discount is effectively choosing to borrow from the supplier for the additional days between the discount date and the net date. Thus, two-part terms can generate information about the buyer's credit quality.

3.2 Survey sample

The empirical analysis uses a survey of credit managers. The authors begin with 2,538 firms drawn from COMPUSTAT and cross-indexed with Dun and Bradstreet's *Million Dollar Directory* or Standard and Poor's *Register of Corporations, Directors, and Executives*.

- **Sample construction.** The authors focus on firms from the COMPUSTAT Full Coverage Tape and limit the sample to firms producing a single product line, based on four-digit SIC codes.
- **Respondents.** The final sample contains 950 usable responses, a 37.4% response rate.
- **Industry coverage.** Manufacturing is heavily represented, especially machinery and equipment, electrical equipment, instruments, chemicals, and wood and paper products. The sample also includes mining, transportation, public utilities, wholesale trade, and other industries.
- **Survey content.** The survey asks about geographic markets, customer base, customer ordering practices, common payment terms, product characteristics, and the enforcement of two-part terms.
- **Financial augmentation.** The survey responses are supplemented with COMPUSTAT financial data, including age and cash-flow-related measures.

Interpretation. The survey lets the paper observe the contract form directly. This is the main advantage relative to using accounts receivable as an indirect proxy for trade credit.

3.3 Key dependent variables

- **Basic credit-policy choice.** The first empirical outcome is the firm's most commonly used payment arrangement: cash, net terms, or two-part terms.
- **Net versus cash.** Does the seller extend simple net credit rather than require cash payment?
- **Two-part versus cash.** Does the seller extend two-part credit rather than require cash payment?
- **Two-part versus net.** Conditional on extending credit, does the seller use prompt-payment discount terms rather than simple net terms?
- **Specific two-part terms.** Among firms that offer two-part credit, the paper studies the effective interest rate, discount percentage, and discount period.

3.4 Main explanatory variables

The explanatory variables are designed to proxy for scale, transactions costs, information problems, buyer reputation, seller reputation, product characteristics, and liquidity.

- **Number of customers.** A categorical measure of the size of the customer base. More customers imply scale economies in credit provision.
- **Age of seller.** Older firms have more reputation and can justify fixed investments in credit management.
- **Infrequency of transactions.** Infrequent transactions imply weaker buyer-seller familiarity and potentially greater information problems.
- **International customers.** International buyers may need more time to inspect and pay, but sellers may also face greater credit-risk uncertainty.
- **Customer type.** Buyers are classified as OEMs, wholesalers, retailers, or a mix of customers. Retailers are the omitted category in the regressions.
- **Relationship.** A survey-based measure of the importance of personal relationships between salespeople and accounts.
- **Fast-changing product.** A product whose value changes quickly raises uncertainty and may induce cash terms or high-discount two-part terms.
- **Produce for inventory.** Products made for inventory are less buyer-specific, which changes the opportunism and collateral issues surrounding trade credit.
- **Product quality.** The difficulty of evaluating quality by inspection captures the product-quality-guarantee channel.
- **Liquidity.** The authors use a free-cash-flow-type measure to test whether liquid sellers are more likely to extend credit.

4 Methodology and empirical specifications

4.1 Industry-practice evidence

The first part of the empirical analysis is descriptive. The authors group firms by SIC code and report common credit terms when there are enough observations and terms are reasonably homogeneous.

- The main descriptive outcome is the most common two-part and net terms in each industry grouping.
- The evidence shows that net 30 is the dominant net term, but short net periods appear in perishable foods and transportation.
- The most common two-part terms are 2/10 net 30, though some industries use very different discounts, such as 8/10 EOM in women's outerwear.
- Many industries generally do not offer two-part terms at all.

Interpretation. Industry practice matters because trade-credit terms appear standardized within product markets. This is consistent with trade-credit contracts being adapted to product and customer characteristics rather than being set individually for each transaction.

4.2 Survey-practice evidence for two-part terms

The paper also asks firms that offer two-part terms how they actually enforce them. Responses are measured on a five-point scale from always to never.

- About 30% of respondents report that customers always or frequently pay in the net period and do not take the discount.
- A substantial minority, 31.8%, report that they never allow customers to take unearned discounts.
- Many firms allow some flexibility: the table suggests that firms often tolerate unearned discounts or late discount-taking, especially for long-standing customers.
- Survey responses give little support to the idea that firms adjust trade-credit terms to manage demand fluctuations, inventories, or interest-rate movements.

Interpretation. Two-part terms are not always enforced mechanically. They also provide a tool for relationship management and selective accommodation of customers.

4.3 Choice of basic credit policy

The main cross-sectional regressions are logit models for three binary choices:

$$\Pr(\text{Net} = 1 \mid \text{Net or Cash}) = F(X\beta_1), \quad (2)$$

$$\Pr(\text{Two-part} = 1 \mid \text{Two-part or Cash}) = F(X\beta_2), \quad (3)$$

$$\Pr(\text{Two-part} = 1 \mid \text{Two-part or Net}) = F(X\beta_3). \quad (4)$$

The three alternatives are cash, net terms, and two-part terms. When one binary choice is estimated, firms choosing the third alternative are excluded from that particular regression.

- **Net versus cash.** This comparison asks whether sellers offer buyers an inspection and payment period instead of demanding immediate cash.
- **Two-part versus cash.** This comparison asks whether sellers offer a credit contract with a built-in screening price instead of demanding cash.
- **Two-part versus net.** This comparison asks whether sellers that extend credit use complex discount terms rather than simple delayed payment.

Interpretation. The three-logit structure is transparent. It lets the authors ask whether a variable makes credit more likely than cash and whether it makes complex two-part credit more likely than simple net terms.

4.4 Choice of specific two-part terms

Conditional on the firm offering two-part credit, the paper estimates regressions for:

$$\text{Effective interest rate,} \quad \text{Discount percentage,} \quad \text{Discount period.} \quad (5)$$

The same explanatory variables from the basic choice regressions are used.

- High discount percentages and high implicit interest rates are consistent with screening buyers for credit risk.
- Low discount percentages and lower interest rates are more consistent with ordinary financing bundled with an inspection period.
- The discount period is interpreted partly through product turnover, perishability, and the time needed to inspect goods and arrange payment.

Interpretation. This section checks whether the intensive margin of the contract - the size and timing of the discount - supports the same information-based interpretation as the discrete policy choice.

5 Identification and interpretation

5.1 What the paper can identify

The paper identifies cross-sectional relationships between firm characteristics, product-market features, and quoted credit terms. It shows which variables are associated with the contract form sellers choose and with the severity of two-part terms.

The paper is less a causal treatment-effect design and more a structured empirical test of theories. It asks which theories predict the observed signs and patterns across industries and firms.

5.2 Survey-data limitations

The authors emphasize that survey data create interpretation problems.

- Respondents may interpret questions differently.
- Credit managers may report the stated policy rather than the policy actually applied to every customer.
- The survey observes the most common terms, not the full distribution of terms used for every buyer.
- Measurement error in survey responses likely attenuates estimated coefficients.

Interpretation. Because of these issues, the results should be read qualitatively: the signs, patterns, and consistency across tables matter more than fine comparisons of coefficient magnitudes.

5.3 Why product quality matters

The product-quality-guarantee theory says that delayed payment helps buyers verify product quality before paying. This predicts more net credit when product quality is harder to evaluate or when the seller lacks reputation.

The results partly fit this logic. Younger sellers are more likely to use net terms than two-part terms, consistent with a need to reassure buyers. However, the product-quality variable itself does not uniformly support a simple prediction: difficult-to-inspect products can also increase seller concern that buyers will opportunistically claim quality problems and delay or avoid payment.

5.4 Why buyer reputation matters

Buyer type is one of the strongest dimensions in the results.

- Sales to OEMs and wholesalers are more likely to be financed than sales to retailers.
- A heterogeneous mix of customer types makes cash more likely.
- Among two-part offers, OEMs and wholesalers receive lower interest rates, lower discounts, and shorter discount periods than retailers.
- The mix-of-customers category receives harsher terms, consistent with costly information and heterogeneity.

Interpretation. The seller's credit contract responds to the expected creditworthiness and observability of the buyer group. Trade credit is easier to offer when the buyer population is more reputable or more familiar.

5.5 Why liquidity receives little support

A traditional view is that liquid sellers lend to buyers because they can finance receivables more cheaply. This paper finds little support for seller liquidity as a positive determinant of extending credit. Liquidity does not reliably predict cash-versus-credit choices in the expected direction and is associated with shorter discount periods among two-part offers.

Interpretation. The limiting factor in trade-credit design is not simply whether the seller has cash. The key issues are information, monitoring, buyer reputation, and contract enforcement.

5.6 How to read two-part terms

Two-part terms are not just a discount. They create an implicit price for delaying payment. A buyer who forgoes the discount reveals willingness to borrow at a high implicit rate or an inability to pay promptly. This can be a signal of credit risk.

- Lower discounts and interest rates for OEMs and wholesalers suggest that two-part terms for these buyers function more like ordinary short-term financing.
- Higher discounts and interest rates for mixed customers suggest a stronger screening role.

- Longer discount periods for international customers are consistent with delivery delays, inspection needs, and payment frictions.
- Fast-changing products generate stronger discount incentives, pushing buyers toward quick payment.

5.7 Interpretation of the main coefficient patterns

The most important empirical patterns are:

- scale matters: firms with more customers are more likely to offer credit;
- seller reputation matters: older firms are more likely to use two-part terms;
- buyer identity matters strongly: OEMs and wholesalers differ from retailers and mixed-customer firms;
- product uncertainty matters: fast-changing products and difficult-to-inspect products affect the form and severity of terms;
- seller liquidity does not drive the results.

Economic reading. These findings align best with trade-credit theories built around information asymmetry and relationship-specific contracting.

6 Tables and figures

6.1 Figure 1 and Table I: Payment-policy map and survey sample

Read Figure 1:

- The figure lays out the timing of cash before delivery, cash on delivery, and postpayment trade credit.
- It identifies which party bears the main functional tasks under each policy.
- Buyers bear product-quality assessment and financing responsibilities when payment is before or at delivery.
- Sellers bear credit-risk assessment, receivables financing, monitoring, collection, and credit-risk bearing when payment comes after delivery.

Read Table I:

- The survey contains 950 usable responses.
- Machinery and equipment, electrical equipment, and instruments are the largest manufacturing categories.
- Wholesale trade and transportation/public utilities are also represented.
- The sample provides enough cross-industry variation to compare trade-credit terms across product markets.

Economic message. Trade credit is a functional allocation problem. The seller extends finance and monitors credit risk, while the buyer receives time to inspect and arrange payment. The sample is broad enough to study how that allocation varies across industries.

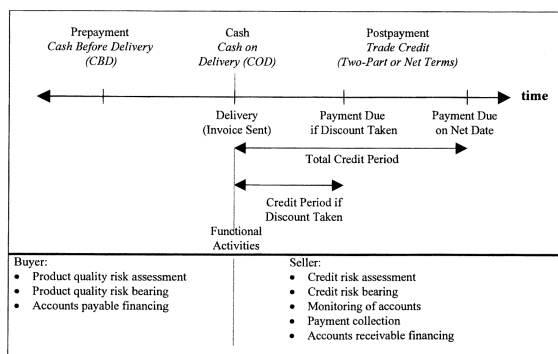


Figure 1. Time profile of payments and functional activities implied by payment policy. The figure shows the range of interfirm credit arrangements, from cash before delivery of merchandise or services, where the buyer assumes product quality risk and must arrange for financing, to payment after delivery, where the seller assumes credit risk and receivables financing responsibilities. With payment after delivery, terms can be two-part or net. Two-part terms provide a discount if payment is made promptly.

Table I
Respondents by Industry
Number and percentage of survey responses, grouped by two-digit SIC code, from the total sample of 950 responses.

Industry	Two-Digit SIC Code	Number of Firms	Percentage of Responses
Agriculture	01-09	6	0.6%
Mining	10-14	39	4.1%
Construction	15-18	8	0.8%
Manufacturing			
Food and Tobacco Products	20-21	46	4.8%
Fabrics, Carpet, and Apparel	22-23	30	3.2%
Wood and Paper Products	24-27	64	6.7%
Chemicals and Allied Products	28	65	6.8%
Petroleum, Rubber and Plastics	29-30	27	2.8%
Leather, Stone, and Glass	31-32	22	2.3%
Metals	33-34	45	4.7%
Machinery and Equipment	35	147	15.5%
Electrical Equipment	36	130	13.7%
Transportation Equipment	37	24	2.5%
Instruments	38	120	12.6%
Other Manufacturing	39	27	2.8%
Transportation and Public Utilities	40-49	69	7.3%
Wholesale Trade	50-51	73	7.7%
Other		8	0.8%

Table I: Respondents by industry.

Figure 1: Payment timing and functional activities.

6.2 Table II: Most common trade-credit terms by industry

Read:

- Table II reports the common two-part and net terms for industry groupings where practices are clear.
- Net 30 is the dominant simple net term.
- 2/10 net 30 appears frequently among two-part offers, but industries differ substantially.
- Perishable food products often use shorter net periods, consistent with faster product turnover.
- Women's outerwear uses 8/10 EOM, illustrating that very high discounts can appear where product value is fast-changing.
- Some industries generally do not offer two-part terms; others generally do not offer simple net terms.

Economic message. Payment terms are strongly tied to product-market features. Industry differences in perishability, turnover, buyer type, and product uncertainty show up directly in the terms suppliers quote.

Table II
Most Common Two-Part and Net Trade Credit Terms
by Industry Grouping

Most commonly quoted trade-credit terms are given for various industry groupings, as reported by survey respondents. These terms, though they are those most commonly reported by survey respondents, may not be representative of other firms in the same SIC grouping. Two-part terms (e.g., 2/10 net 30) offer two payment options to the buyer: either take a prompt payment discount and pay within a specified number of days (2% discount if paid in 10 days) or make full payment by the specified net date (net 30). Net terms (e.g., net 30) quote the number of days within which payment is due (30), but do not offer a discount for prompt payment.

Industry Group	Two-Part Terms	Net Terms
Mining (SIC 10–13)	Generally not offered	Net 30
Manufacturing – Perishable Food Products (SIC 201, 202, 205)	Generally not offered	Net 7 and Net 30 are most common. Net period is related to rate of perishability
Non-Perishable Food Products (SIC 203, 204, 206–209)	2/10 net 30 is most common, occasional shorter net periods such as 2/10 net 11	Net 30
Fabrics (SIC 221, 222, 223, 225, 228)	Generally not offered	Net 30 or net 60
Apparel except women's outerwear (SIC 230, 231, 232, 234, 236)	Generally not offered; when offered 8/10 EOM is most common	Net 30 is most common, occasional longer or shorter periods
Apparel – Women's Outerwear (SIC 233)	8/10 EOM	Generally not offered
Lumber and Wood Products (SIC 242, 243, 249)	2/10 net 30 and 2/10 net 11 are most common, longer terms are more common for finished goods	Generally not offered
Furniture and Fixtures (SIC 251, 252, 259)	Generally not offered	Net 30
Inorganic Chemicals (SIC 280–282)	Generally not offered	Net 30
Pharmaceuticals (SIC 2833, 2834)	2/10 net 30	Net 30
Diagnostic Products (SIC 2835, 2836)	Generally not offered	Net 30
Chemical Products (SIC 285–289)	Generally not offered	Net 30
Petroleum Refining (SIC 29)	2/10 net 11 for refining and 1/10 net 30 for lubricants	Generally not offered
Rubber and Plastic Products (SIC 30)	5/15 net 15 and 1/10 net 30	Net 30
Stone, Clay, and Glass Products (SIC 32)	1/10 net 30	Net 30

Table 2—Continued

Industry Group	Two-Part Terms	Net Terms
Manufacturing (continued)		
Blast Furnaces and Steel (SIC 3310–3312)	0.5/10 net 30 and 0.75/10 net 30	Generally not offered
Iron and Steel Foundries (SIC 3315–332)	Generally not offered	Net 30
Fabricated Metal (SIC 34)	2/10 net 30	Net 30
Industrial Machinery (SIC 350–356, 359)	2/15 net 30, occasional smaller discounts and shorter discount periods	Net 30
Industrial Equipment (SIC 357)	Generally not offered	Net 30
Electrical Industrial Apparatus (SIC 360–364)	2/10 net 30	Net 30
Communications Equipment Electronic Components (SIC 366–369)	Generally not offered, otherwise 1/10 net 30	Net 30
Transportation Equipment and Parts (SIC 37)	Generally not offered, except for parts with 1/10 net 30	Net 30
Instruments (SIC 38)	Generally not offered, otherwise 2/10 net 30	Net 30
Transportation – Railroad and Truck (SIC 40–42)	1/14 net 28	Net 15 and some longer net periods
Communications (SIC 48)	Generally not offered	Net 30
Services – Electric, Gas and Sanitation (SIC 49)	Generally not offered	Net 30

Table II, part 2: Continued industry payment terms.

Table II, part 1: Industry payment terms.

6.3 Tables III and IV: Enforcement practice and the basic credit-policy choice

Read Table III:

- The table reports how two-part-credit firms enforce discount and net-period practices.
- Customers often use net-period financing instead of taking the discount.
- Sellers sometimes allow unearned discounts, especially for long-standing customers.
- Very few firms say they vary terms because of market-demand fluctuations, inventory management, or interest-rate changes.

Read Table IV:

- The dependent variables are three binary logit comparisons: net versus cash, two-part versus cash, and two-part versus net.
- More customers make credit more likely than cash and make two-part terms more likely than simple net terms.
- Older sellers are more likely to use two-part terms, consistent with scale and reputation.

- Sales to OEMs and wholesalers make credit more likely than cash.
- A mix of customers makes cash more likely, consistent with buyer heterogeneity and costly information.
- Fast-changing product value and difficult-to-inspect quality tend to reduce the attractiveness of two-part terms relative to cash or net terms.
- Liquidity does not provide strong positive support for the view that liquid sellers are simply more willing to extend credit.

Economic message. Trade-credit policy is mainly shaped by information and customer-type variables. Firms extend credit when buyers are easier to evaluate or more reputable; they use cash when buyer heterogeneity or product uncertainty makes delayed payment risky.

Table III
Practices of Firms Offering Two-Part Trade-Credit Terms

Survey responses to questions regarding firm trade-credit practices for the 233 firms that report two-part credit is their most commonly offered form of credit.

Statement	Percentage of Responses					Mean Response
	Always (5)	Frequently (4)	Half of the Time (3)	Occasionally (2)	Never (1)	
Our customers pay in the net period and do not take the discount.	1.72	27.9	22.8	38.6	9.0	2.75
We allow customers to take the cash discount even if they do not pay in the discount period.	1.7	7.7	4.3	54.5	31.8	1.93
We do nothing if a long-standing customer pays within the net period and takes an unearned discount.	7.7	16.7	3.4	44.6	27.5	2.33
Use of trade credit suggests to us that the customer cannot obtain financing elsewhere.	1.3	5.6	3.4	40.3	49.4	1.69
We vary credit terms rather than product prices in response to fluctuations in market demand.	0.9	3.4	3.4	28.8	63.5	1.49
We manage inventories by changing credit terms rather than product prices.	0.0	2.6	0.4	17.6	79.4	1.26
We relax credit terms when banks significantly lower interest rates.	0.0	0.0	1.3	10.7	88.0	1.13

Table III: Practices of firms offering two-part terms.

Table IV
Choice of Trade Credit Policy

The table contains results of logit models for three binary choices facing firms: the choice to extend net terms versus cash terms; the choice to extend two-part terms versus cash terms, and the choice to extend two-part versus net terms. After deleting observations with missing values for some variables, the sample sizes are: 649 for net terms, 39 for cash terms, and 233 for two-part terms. Information about firms selecting the third alternative is excluded from the analysis of each binary choice.

Independent Variables	Net = 1; Cash = 0		Two-part = 1; Cash = 0		Two-part = 1; Net = 0	
	Coefficient	T-ratio	Coefficient	T-ratio	Coefficient	T-ratio
Intercept	1.888	1.67***	-1.073	-0.78	-2.274	-3.45***
Number of customers	0.435	3.05***	0.642	3.53***	0.150	1.47*
Age of seller	0.092	0.46	0.619	2.50***	0.350	3.54***
Infrequency of transactions	-0.283	-0.65	0.067	0.12	-0.311	-1.32*
International customers	0.227	0.59	0.567	1.34*	0.007	0.04
OEMs	2.374	4.79***	2.115	3.46***	-0.572	-1.71**
Wholesalers	1.013	1.80**	2.153	3.24***	0.758	2.05***
Mix of customers	-1.913	-3.38***	-2.217	-3.25***	0.287	0.83
Relationship	-0.150	-0.93	-0.125	-0.66	0.037	0.49
Fast-changing	-0.182	-1.31*	-0.369	-2.32***	-0.208	-3.14***
Produce for inventory	-0.020	-0.15	0.113	0.72	0.110	1.73**
Product quality	0.021	0.18	-0.221	-1.53*	-0.165	-2.87***
Liquidity	-0.707	-1.15	-1.495	-1.42*	-0.016	-0.39

Two-tail significance level: *** = .05, ** = .10, * = .20.

Table IV: Logit models of basic trade-credit policy.

6.4 Table V: Specific terms among firms offering two-part credit

Read:

- Table V studies only firms whose common payment method is two-part trade credit.
- The dependent variables are the effective interest rate, discount percentage, and discount period.
- OEMs and wholesalers receive lower implicit interest rates, lower discounts, and shorter discount periods than retailers.
- Mixed customer bases are associated with higher interest rates, higher discounts, and longer discount periods.

- International customers receive longer discount periods, likely because inspection and payment take more time.
- Fast-changing product value is associated with a higher discount percentage.
- Producing for inventory is associated with a higher effective interest rate.

Economic message. The intensity of two-part terms supports the same story as the basic policy-choice regressions. Terms are softer when buyer credit quality is easier to assess, and harsher when buyers are heterogeneous or information is costly.

Table V
Choice of Payment Terms for Firms Offering
Two-Part Trade Credit

Using the sample of firms offering two-part credit, the table presents regression results of models for three dependent variables: effective interest rate, discount percentage, and discount period. Sample size is 233 firms that offer two-part terms as their most common form of trade credit.

Independent Variables	Effective Interest Rate		Discount Percentage		Discount Period	
	Coefficient	T-ratio	Coefficient	T-ratio	Coefficient	T-ratio
Intercept	3.218	1.55*	1.586	2.07***	10.109	3.32***
Number of customers	-0.583	-1.37*	-0.167	-0.15	-0.130	-0.29
Age of seller	0.461	1.17	-0.145	-1.33*	0.306	0.61
Infrequency of transactions	-1.076	-1.19	0.062	0.16	-1.645	-1.06
International customers	0.692	1.27	0.138	0.56	2.536	2.76***
OEMs	-6.130	-2.53***	-2.132	-2.77***	-7.882	-2.68***
Wholesalers	-5.747	-2.30***	-1.696	-2.24***	-7.747	-2.69***
Mix of customers	5.592	2.26***	1.624	2.12***	4.789	1.58*
Relationship	-0.137	-0.57	0.046	0.46	0.039	0.08
Fast-changing product	0.156	0.75	0.214	2.44***	0.289	0.70
Produce for inventory	0.659	3.44***	0.073	0.77	0.367	1.05
Product quality	-0.027	-0.11	-0.050	-0.64	-0.366	-1.11
Liquidity	0.003	0.89	-0.000	-0.36	-0.052	-0.64***

Two-tail significance level: *** = .05, ** = .10, * = .20.

Table V: Specific payment terms for firms offering two-part trade credit.

7 Short summary

- Trade credit is a payment contract that assigns financing, monitoring, credit risk, and product-quality risk between buyers and sellers.
- The paper uses original survey data from 950 firms to study quoted terms directly.
- The three basic policies are cash, simple net terms, and two-part terms.
- Net 30 is the most common simple net term, while 2/10 net 30 is a common two-part term.
- Credit terms vary widely across industries but little within many industries.
- Firms rarely vary credit terms in response to demand shocks, inventory needs, or interest-rate changes.
- More customers and older seller age make two-part terms more likely.
- Sales to OEMs and wholesalers make credit more likely than cash, while mixed customer bases make cash more likely.
- Among two-part offers, OEMs and wholesalers receive lower implicit interest rates and shorter discount periods.

- Seller liquidity is not a strong positive determinant of credit extension.
- The main evidence supports information-based and relationship-based theories of trade credit.

8 Conclusion

8.1 Core conclusion

Ng, Smith, and Smith show that the structure of trade-credit terms is best understood as a contractual response to information problems. Payment terms help sellers manage buyer creditworthiness, help buyers manage product-quality uncertainty, and help both sides adapt to relationship-specific trade.

8.2 Economic intuition

A seller chooses cash, net terms, or two-part terms by asking: How hard is the buyer to evaluate? How hard is the product to inspect? How valuable is the customer relationship? How much scale does the seller have in credit administration? The observed contract reflects the answer to those questions.

8.3 Incremental contribution revisited

The paper's contribution is to observe the credit contract itself. Accounts receivable and accounts payable reveal that trade credit exists, but they do not show how sellers structure the terms. By surveying credit managers, the paper provides direct evidence on the contractual design of interfirm credit.

8.4 Implications

- **For trade-credit theory.** Information asymmetry, buyer reputation, seller reputation, and relationship-specific contracting are central.
- **For empirical corporate finance.** Balance-sheet measures of trade credit should be interpreted carefully because the same accounts receivable amount can arise from different contractual terms.
- **For product-market analysis.** Industry characteristics such as perishability, turnover, and customer type shape financial contracting between firms.
- **For later network work.** Trade credit is not only financing; it is a network of contractual exposures that can transmit shocks through supplier-customer relationships.

8.5 Limitations

- The evidence is survey based, so reported terms and practices may differ from transaction-level behavior.
- The study is cross-sectional and is not designed to identify causal treatment effects.

- The analysis observes common firm-level terms, not the full menu of terms offered to every individual customer.
- The sample is based on COMPUSTAT-related firms, so very small private firms are less central than in some other trade-credit studies.

8.6 Takeaway

The paper's central lesson is that trade-credit terms are a form of governance. Sellers design payment terms to handle the information and incentive problems embedded in product-market exchange. Cash, net terms, and two-part terms are not merely payment conventions; they are contractual tools for allocating risk and information between firms.